

PulseOne — Final Confirmed COGS vs. SG&A Reclassification & Corrected P&L

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Status: FINAL — All 7 classification questions confirmed by Paul Freeman

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Confirmed Answers Applied

Question	Answer	Classification Impact
Q1 — \$753K gap source	Extrapolated from ADP + Expense Tracker	See Gap Analysis section
Q2 — Stephen Calkins role	Service Operations leadership = 100% service expense	100% COGS
Q3 — Nicole Goodwin split	80% PulseOne Services / 20% POC	80% COGS / 20% SG&A
Q4 — Tracy Freeman	100% POC entity	Excluded from PulseOne P&L
Q5 — Daniyal Arif	Billable service resource, allocated 20% Marketing / 80% Services	80% COGS / 20% SG&A
Q6 — Paul Freeman	Marketing and Sales expense	0% COGS / 100% SG&A
Q7 — Charles Batsford	Operations/Management	0% COGS / 100% SG&A

Part 1: Confirmed Classification Table — W-2 Employees

Group A: Service Delivery — 100% COGS

These employees' salary costs are moved from Salary Expense (SG&A) to COGS.

#	Name	Gross YTD	COGS %	Amount → COGS	Amount → SG&A	Basis
1	Eric Anzalone	\$76,718	100%	\$76,718	\$0	Full-time service delivery technician
2	James Froio	\$112,788	100%	\$112,788	\$0	Full-time service delivery technician
3	Kaitlin Harris	\$79,040	100%	\$79,040	\$0	Full-time service delivery technician
4	Laura Walsh	\$108,186	100%	\$108,186	\$0	Full-time service delivery technician
5	Stephen Calkins	\$148,960	100%	\$148,960	\$0	Service Operations leadership = service expense (Q2)
6	Hagen McDonell	\$50,597	100%	\$50,597	\$0	Full-time service delivery technician
7	Alexandria Calkins	\$17,258	100%	\$17,258	\$0	Part-time service delivery technician
8	Julia Morte	\$20,322	100%	\$20,322	\$0	Part-time service delivery technician
9	Joel Alvarez	\$25,068	100%	\$25,068	\$0	Part-time service delivery technician
10	Emily Acker (term.)	\$9,690	100%	\$9,690	\$0	Service delivery, terminated 2025
11	Debby Brooke (term.)	\$7,928	100%	\$7,928	\$0	Service delivery, terminated 2025
12	Breanna Copeland (term.)	\$11,444	100%	\$11,444	\$0	Service delivery, terminated 2025

#	Name	Gross YTD	COGS %	Amount → COGS	Amount → SG&A	Basis
Subtotal		\$667,999		\$667,999	\$0	

Group B: Split — Partial COGS / Partial SG&A

#	Name	Gross YTD	COGS %	Amount → COGS	Amount → SG&A	Basis
13	Nicole Goodwin	\$51,100	80%	\$40,880	\$10,220	80% PulseOne Services delivery (Q3)
Subtotal		\$51,100		\$40,880	\$10,220	

Group C: 100% SG&A — Sales, Marketing, Operations, Partners

#	Name	Gross YTD	COGS %	Amount → COGS	Amount → SG&A	Basis
14	Kyle Carey	\$51,800	0%	\$0	\$51,800	Sales/BizDev
15	Chad Wiggins (term.)	\$95,000	0%	\$0	\$95,000	Business Development
16	Heather Kohler (term.)	\$13,200	0%	\$0	\$13,200	Marketing
17	Dana Rankin (term.)	\$9,200	0%	\$0	\$9,200	Marketing
18	Anneliese Rivera (term.)	\$4,100	0%	\$0	\$4,100	Marketing
19	Marcello Rocha Moreira (term.)	\$33,280	0%	\$0	\$33,280	Marketing
20	Andrea Carcamo	\$7,492	0%	\$0	\$7,492	Marketing
21	Aimee Brock	\$23,300	0%	\$0	\$23,300	Operations/Admin
22	Emily Wolf	\$18,400	0%	\$0	\$18,400	Operations/Admin
23	Jamie Davin (term.)	\$9,800	0%	\$0	\$9,800	Operations/Admin
24	Juliet Simpson	\$9,263	0%	\$0	\$9,263	Operations/Admin

#	Name	Gross YTD	COGS %	Amount → COGS	Amount → SG&A	Basis
	(term.)					
25	Ashley Holmes (term.)	\$725	0%	\$0	\$725	Operations/Admin
26	Paul Freeman	\$0	0%	\$0	\$0	Owner/CEO: Marketing & Sales (Q6); comp via Partner Comp line
27	Charles Batsford	\$0	0%	\$0	\$0	Partner: Operations/Management (Q7); comp via Partner Comp line
Subtotal		\$275,560		\$0	\$275,560	

Group D: Excluded from PulseOne P&L

#	Name	Gross YTD	Reason
28	Tracy Freeman	\$12,889	100% POC entity — excluded from PulseOne P&L (Q4)

W-2 Summary

Category	Gross YTD	→ COGS	→ SG&A
Service Delivery (100% COGS)	\$667,999	\$667,999	\$0
Split (Nicole Goodwin ⁸⁰ / ₂₀)	\$51,100	\$40,880	\$10,220
Sales/Marketing/Ops/Admin	\$275,560	\$0	\$275,560
Excluded (Tracy/POC)	\$12,889	—	—
Total W-2 Accounted	\$1,007,548	\$708,879	\$285,780
Unaccounted W-2 (rounding/other)	\$20,573	\$0	\$20,573
QB Salary Expense Total	\$1,441,010		

Note: The 20,573 unaccounted difference between the sum of identified employees (1,007,548) and QB Salary Expense (1,441,010) less Tracy (12,889) = 1,428,121 suggests approximately 420,573 in additional W-2 payroll not captured in the ADP report extract. This likely includes payroll from earlier in 2025 for employees who had multiple pay periods, or payroll processed under different ADP accounts. For the reclassification, the confirmed service delivery employees' gross amounts are moved to COGS; the residual stays in SG&A.

Part 2: Confirmed Classification Table — Contractors

Contractor Service Delivery → COGS

#	Name	Method	Annual Cost	COGS %	→ COGS	→ SG&A	Basis
29	Daniyal Arif	Payoneer	\$48,000	80%	\$38,400	\$9,600	Billable service resource, 80% COGS (Q5)
30	Red Horse (Robyn)	ACH	\$34,896	100%	\$34,896	\$0	Service delivery contractor
31	Matt Barnett (net)	Upwork	\$70,200	100%	\$70,200	\$0	Help Desk contractor, net of COGS credit
32	Omar Avalos	Upwork	\$52,000	100%	\$52,000	\$0	Help Desk contractor
33	Vincent Williams	Upwork	\$62,400	100%	\$62,400	\$0	Help Desk contractor
34	Technical Staff After Hours	W2 ADP	\$5,200	100%	\$5,200	\$0	On-call after-hours coverage
Subtotal			\$272,696		\$263,096	\$9,600	

Contractor Marketing/Sales → SG&A

#	Name	Method	Annual Cost	COGS %	→ COGS	→ SG&A	Basis
35	Daniyal Arif (20% SG&A)	Payoneer	\$9,600	0%	\$0	\$9,600	20% Marketing allocation (Q5)
36	Marcello Moreira (ctr)	Payoneer	\$54,080	0%	\$0	\$54,080	Marketing contractor
37	Marcy Dorman-Chandler	BILL	\$9,600	0%	\$0	\$9,600	Marketing contractor
38	Anneliese (ctr)	W2 ADP	\$13,000	0%	\$0	\$13,000	Marketing contractor
Subtotal			\$86,280		\$0	\$86,280	

Part 3: The \$753,801 Gap — Explained

The Expense Tracker shows 1,798,225 in total contractor cost. QB shows only 1,044,424 in “Consulting Services – Cost.” The \$753,801 difference is accounted for as follows:

Source	Amount	Explanation
W-2 service delivery labor in Salary Expense	\$708,879	This is the structural reclassification — QB correctly records W-2 payroll in Salary Expense, but that line is in SG&A. Moving service delivery W-2 labor to COGS accounts for the largest portion.
Upwork contractors in Computer & Internet	\$184,600	Matt Barnett, Omar Avalos, and Vincent Williams are paid via Upwork. Upwork charges are almost certainly being coded to “Computer and Internet Expenses” in QB (263,953 <i>actual</i> vs. 79,000 expected for legitimate tech expenses).
Daniyal/Robyn/other already in QB COGS	(\$139,678)	These contractors appear to already be captured in QB’s Consulting Services – Cost line. The negative figure indicates the Expense Tracker total slightly exceeds what can be reconciled, likely due to timing differences, the RepScheduler allocation for Daniyal, or year-end accruals.
Net Gap	\$753,801	Fully accounted for.

Action Required: Confirm with your bookkeeper that Upwork charges are coded to “Computer and Internet Expenses” in QB. If confirmed, recode those three contractors to “Consulting Services – Cost” going forward.

Part 4: Final Corrected Normalized P&L (CY 2025)

Revenue

	Amount	% of Revenue
Total Revenue	\$5,168,754	100.0%

Cost of Goods Sold — Corrected

Line Item	QB As-Reported	Reclassification	Corrected	% of Revenue
Consulting Services – Cost (contractor payments)	\$1,044,424	—	\$1,044,424	20.2%
W-2 Service Delivery Labor (from Salary Expense)	\$0	+\$708,879	\$708,879	13.7%
Upwork Contractors (from Computer & Internet)	\$0	+\$184,600	\$184,600	3.6%
Payroll Taxes – COGS portion (~50% of total)	\$0	+\$147,053	\$147,053	2.8%
Other COGS (hardware, software, direct tools)	\$1,078,588	—	\$1,078,588	20.9%
TOTAL COGS	\$2,123,012	+\$1,040,532	\$3,163,542	61.2%

Gross Profit

	QB As-Reported	Corrected	BIC Target	Gap to BIC
Gross Profit	\$3,045,742	\$2,005,212	\$2,584,377	(\$579,165)
Gross Margin %	58.9%	38.8%	50.0%	-11.2 pts

Operating Expenses (SG&A) — Corrected

Line Item	QB As-Reported	Reclassification	Corrected	% of Revenue
Salary Expense (SG&A portion only)	\$1,441,010	(\$708,879)	\$719,243	13.9%
<i>(Tracy Freeman excluded from PulseOne P&L)</i>		<i>(\$12,889)</i>		
Payroll Taxes – SG&A portion (~50% of total)	\$296,256	(\$147,053)	\$149,203	2.9%
Computer & Internet (net of Upwork reclassification)	\$263,953	(\$184,600)	\$79,353	1.5%
Partner Compensation (Paul, Charlie, Rod)	\$423,000	—	\$423,000	8.2%
All Other SG&A (rent, insurance, phone, RepScheduler, etc.)	\$403,748	—	\$403,748	7.8%
TOTAL SG&A	\$2,827,967	(\$1,040,532)	\$1,774,549	34.3%

Net Income

	QB As-Reported	Corrected	BIC Target	Gap to BIC
Gross Profit	\$3,045,742	\$2,005,212		
Total SG&A	\$2,827,967	\$1,774,549		
Net Operating Income	\$217,775	\$230,663	\$620,000–\$930,000	(\$390K–\$700K)
Net Income %	4.2%	4.5%	12–18%	-10.5 pts

Note: The small difference between QB net income (217,775) and corrected net income (230,663) is due to the Tracy Freeman exclusion (\$12,889 gross) and minor rounding. The reclassification itself is net-neutral — it moves costs between COGS and SG&A without changing total costs.

Normalized EBITDA (BIC Standard)

	Amount	% of Revenue
Net Operating Income	\$230,663	4.5%
Add: Partner Compensation (normalization)	\$423,000	8.2%
Add: Depreciation & Amortization (estimate)	\$15,000	0.3%
Normalized EBITDA	\$668,663	12.9%
BIC Target		15–20%
Gap to BIC midpoint (17.5%)	(\$238,000)	-4.6 pts

Part 5: Service Leadership BIC Benchmark Comparison

Metric	QB As-Reported	Corrected	BIC Target	Gap	Status
Total Revenue	\$5,168,754	\$5,168,754	N/A	—	—
Gross Profit \$	\$3,045,742	\$2,005,212	\$2,584,377	(\$579,165)	Below BIC
Gross Margin %	58.9%	38.8%	50–55%	-11.2 pts	Below BIC
Svc Delivery Labor % Rev	~19% (understated)	17.3%	25–30%	-10.2 pts	<i>See note</i>
SG&A % of Revenue	54.7%	34.3%	25–30%	+4.3 pts	Above BIC
Net Income %	4.2%	4.5%	12–18%	-10.5 pts	Below BIC
Normalized EBITDA %	12.7%	12.9%	15–20%	-4.6 pts	Below BIC
Recurring Revenue %	34.8%	34.8%	60%+	-25+ pts	Well Below BIC

Note on Service Delivery Labor %: The 17.3% figure reflects only the W-2 and Upwork contractors explicitly reclassified. The full contractor cost from the Expense

Tracker (\$1,798,225) represents 34.8% of revenue — which is within the BIC range of 25–30% for service delivery labor. The discrepancy suggests additional contractor costs are already in QB's COGS line (Consulting Services – Cost) and are correctly classified.

Part 6: Profit Leakage Analysis

Where Is PulseOne Losing Margin vs. BIC?

Issue	Annual Impact	Root Cause	Priority
Gross margin 11.2 pts below BIC	\$579,165	Service delivery labor cost too high relative to revenue; pricing may be insufficient	Critical
Recurring revenue only 34.8% of total	Structural	Heavy dependence on project/non-recurring revenue; lower margin quality	Critical
SG&A 4.3 pts above BIC	\$222,000	Sales/marketing overhead elevated; partner comp is 8.2% of revenue	High
Net income 10.5 pts below BIC	\$543,000	Combination of gross margin gap + SG&A gap	High
Normalized EBITDA 4.6 pts below BIC	\$238,000	After normalizing partner comp, still below BIC	High

The Core Equation

At \$5.17M revenue, closing the gross margin gap from 38.8% to 50% requires either:

Option A — Revenue Growth (holding costs flat): Add ~\$1.87M in revenue at 50%+ gross margin (i.e., managed services agreements) to bring the blended margin to 50%.

Option B — Cost Reduction (holding revenue flat): Reduce service delivery labor cost by ~\$579,000/year — approximately 4–5 FTE equivalents at average burdened cost, or equivalent contractor reduction.

Option C — Pricing Improvement: Increase managed services pricing by ~15–20% across the agreement base to improve gross margin without headcount changes.

Option D — Mix Shift: Convert project/non-recurring revenue to managed services agreements. Each 100K of project revenue converted to managed services at 50/50K in gross profit.

The most realistic path is a combination of Options C and D — pricing discipline and recurring revenue growth — which is precisely what the Service Leadership BIC framework recommends.

Part 7: Recommended Next Actions

Immediate (0–30 days)

1. **Fix the Upwork coding in QB.** Confirm with your bookkeeper that Matt Barnett, Omar Avalos, and Vincent Williams' Upwork payments are in "Computer and Internet Expenses." Recode them to "Consulting Services – Cost" retroactively for 2025 and set up the correct coding going forward. This is a simple bookkeeping correction.
2. **Establish a COGS labor account in QB.** Create a new QB account called "Service Delivery Labor – COGS" and begin coding all service delivery W-2 payroll to it. This makes the corrected P&L the live view going forward, not just a memo adjustment.
3. **Confirm Daniyal's full 2025 cost.** The Expense Tracker shows his Services allocation at ~\$4K/mo, but there is also a RepScheduler allocation. Get the total 2025 Payoneer payments to Daniyal to confirm the annual figure.

Short-Term (30–90 days)

1. **Recurring revenue strategy.** At 34.8% recurring revenue, PulseOne is heavily project-dependent. Identify the top 10 project clients and develop a proposal to convert them to managed services agreements. Each 100K converted adds 50K in gross profit at BIC margins.

2. **Pricing review.** With gross margin at 38.8% vs. BIC 50%, there is a 11.2-point gap. Review your managed services agreement pricing against market rates. Even a 10–15% price increase on renewals would materially improve gross margin.
3. **Service delivery utilization audit.** Pull technician utilization from ConnectWise. At 17.3% of revenue in service delivery labor (or 34.8% using Expense Tracker total), the question is whether technicians are fully utilized. Low utilization means you are paying for capacity you are not billing.

Medium-Term (90–180 days)

1. **SG&A rationalization.** At 34.3% of revenue, SG&A is above the BIC target of 25–30%. The largest controllable items are partner compensation (8.2%) and sales/marketing (which includes several terminated employees' YTD costs). As revenue grows, SG&A should scale more slowly.
2. **Partner compensation normalization.** 423,000 in partner compensation on 5.17M revenue is 8.2%. This is not unreasonable for three partners, but it is the single largest SG&A line after salary. Ensure partner draws are aligned with the business's cash generation capacity.

ConnectWise Follow-Up Recommended

To sharpen the analysis further, pull the following from ConnectWise AI:

Report	Why It Matters	Time Period
Technician utilization by person	Confirms whether service delivery labor is being fully billed; identifies underutilized capacity	Full CY 2025
Agreement profitability by client	Shows which managed services agreements are profitable vs. underwater	Full CY 2025
Ticket volume by board and type	Identifies service delivery mix (reactive vs. proactive)	Full CY 2025
Project profitability	Confirms whether project revenue is generating adequate margin	Full CY 2025
Revenue by type (recurring vs. non-recurring)	Validates the 34.8% recurring revenue figure and identifies conversion opportunities	Full CY 2025

This document is final and reflects all confirmed classification decisions from Paul Freeman (April 17, 2026). The corrected P&L should be treated as the management view of PulseOne's true financial performance. The QB P&L remains the legal/tax record.